Watch list summary

2026-10-31 07:07 CET. Claude's notes updated 2026-10-31.

1. Summary

> **Five stocks now. Three are within about 6% of their entry prices: Boston Scientific about 1% above $41.5, Booking about 3% above $144 before its Nov 3 report, Netflix about 6% above $58. The two new ones are further away: Alphabet about 9% above its $256 entry (report 17's 22x core earnings plus its equity stakes) after the AI-spending sell-off, Uber about 11% above $58 before its Nov 4 report.**

- **BSX** $41.98: 1% above its entry price of $41.47.
- **BKNG** $148.13: 3% above its entry price of $144.15.
- **NFLX** $62.08: 6% above its entry price of $58.40.
- **GOOGL** $279.84: 9% above its entry price of $255.83.
- **UBER** $65.25: 11% above its entry price of $57.80.

2. The numbers

Stock	Price	Adjusted P/E	10-yr median	Target	Entry price	Entry vs price	Next report
BSX	$41.98	13.2x	25.2x	13x	$41.47	-1.2%	2027-02-10
BKNG	$148.13	15.4x	21.2x	15x	$144.15	-2.7%	2026-11-03
NFLX	$62.08	21.3x	61.3x	20x	$58.40	-5.9%	2027-01-19
GOOGL	$279.84	24.2x	23.7x	22x	$255.83	-8.6%	2027-02-03
UBER	$65.25	22.6x	22.3x	20x	$57.80	-11.4%	2026-11-04

Entry price = target multiple x trailing 12-month adjusted EPS. A negative "entry vs price" means the entry price is below today's price.

3. Analysis

Each stock's verdict and key points follow. The entry prices are proposals until Babak confirms the target multiples (13x BSX, 15x BKNG, 20x NFLX, 22x GOOGL plus its stakes, 20x UBER). Alphabet and Uber joined the watch list on 2026-10-29.

Boston Scientific Corporation (BSX)

> **Q3 (Oct 28) missed on earnings and the year's outlook was cut a fourth time: sales grew only 1.5% and are guided to fall in Q4. The stock is cheap (about 13x) and now about 1% above the $41.5 entry, but growth has stalled rather than slowed. View: a small first position only at or below $41.5; wait for the 2027 outlook (late January) before adding.**

- **Cheap:** the lowest valuation in a decade, and cheaper than most medical-device peers.
- **Strong:** the best profitability and cash generation in its peer group.
- **Weak:** little cash against its debt, with more debt coming from the Penumbra deal.
- **Uncertain:** growth has fallen from about 16% to about 4% for 2026, with Q4 sales guided down 1–3%; how much is the cyberattack and how much is lasting share loss is not yet clear.

Booking Holdings Inc. (BKNG)

> **The strongest balance sheet and biggest cash generator in online travel, the cheapest it has been in a decade, sold off on fears that AI agents will bypass it. View: start a position now and add below about $145 (15x adjusted earnings).**

- **Cheap:** about 16x adjusted earnings, against a 10-year norm of about 21x.
- **Strong:** passes every strict debt rule and generates about $9.5bn of free cash flow a year.
- **Weak:** negative shareholders' equity because of buybacks.
- **Uncertain:** room-night growth is slowing, and AI agents and regulators are open risks.

Netflix, Inc. (NFLX)

> **The leading streaming business, now at its lowest valuation in a decade after a run of soft guidance, while adjusted earnings still grow about 15% a year. View: a first look, not a full analysis yet. The proposed entry is 20x adjusted earnings, about $58.**

- **Cheap:** about 22x adjusted earnings, against a 5-year median of about 34x.
- **Strong:** large and growing free cash flow (about $12bn guided for 2026) and modest debt.
- **Weak:** guidance has disappointed three quarters running, and the advertising business is behind plan.
- **Uncertain:** how much of the slowdown is lasting, and what the new content chief and job cuts change.

Alphabet Inc. (GOOGL)

> **The business is the strongest it has been in years (revenue +25%, Google Cloud +103% in Q3), but the stock is not cheap. The GAAP P/E near 15x is an illusion: much of the last year's earnings are paper gains on the Anthropic and SpaceX stakes. On core earnings, with the stakes (about $15 a share after tax) taken out of the price, Alphabet trades at about 24x, in line with its 10-year median. View (report 17): wait, and buy below about $256 (22x core EPS plus the stakes), about 9% below today.**

- **Cheap:** not now; about 24x core earnings once the stakes are taken out of the price, in line with its 10-year median.
- **Strong:** about $240bn of cash against about $113bn of debt, revenue up about 25% and an operating margin near 32%.
- **Weak:** capital spending of about $130bn a year has turned the quarterly free cash flow margin negative (about -7% in Q3).
- **Uncertain:** whether AI search answers erode Search (still about half of revenue), and the size and value of the SpaceX and other private stakes that swing reported EPS.

Uber Technologies, Inc. (UBER)

> **The global leader in ride-hailing and a large food delivery business, with non-GAAP EPS growing 35-45% a year, at about 23x those earnings. View: a first look, not a full analysis yet. The proposed entry is 20x non-GAAP earnings, about $58, some 12% below today; Q3 results come on Nov 4.**

- **Cheap:** not quite; about 23x non-GAAP earnings, fair for EPS growth of 35-45% a year.
- **Strong:** operating income up about 30% a year, little capital spending (about $0.3bn a year) and modest net debt (about $10bn).
- **Weak:** reported EPS is dominated by tax releases and revaluations of its stakes, so the own-history P/E is not a reliable guide.
- **Uncertain:** whether robotaxis (Waymo, Tesla) bypass Uber's network or run on it.

Each stock's full analysis is in its own PDF from the same run.